

The ₦50 Stamp Duty on Bank Transfers: What Changed on 1 January 2026

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Since 2020, Nigerians have grown used to seeing a ₦50 deduction whenever a bank transfer of ₦10,000 or more crosses their account. For years, that charge was known as the Electronic Money Transfer Levy (EMTL), and it was collected from the recipient. As of 1 January 2026, both the legal basis for the charge and who pays it have changed — and every business that moves money through Nigerian bank accounts should understand the shift.

How the Levy Originally Worked

The charge traced its origins to amendments the Finance Act 2019 made to the Stamp Duties Act. Section 4 of that Act empowered the Federal Inland Revenue Service (FIRS) to impose and collect duties on instruments executed between a company and an individual or group, while state tax authorities handled instruments between individuals. Section 89, as amended, extended the definition of a chargeable "receipt" to electronic transfers, and fixed a one-off ₦50 duty on electronic deposits or transfers of ₦10,000 and above into any bank account — a position FIRS itself confirmed by circular. In practice, banks deducted the ₦50 from the recipient of the funds, not the sender.

What Has Changed

On 26 June 2025, President Bola Ahmed Tinubu signed four tax reform laws — the Nigeria Tax Act, the Nigeria Tax Administration Act, the Nigeria Revenue Service (Establishment) Act, and the Joint Revenue Board (Establishment) Act — which together took effect on 1 January 2026. These laws repeal and consolidate more than a dozen tax statutes, including the Stamp Duties Act, into a single, unified framework.

Two changes matter directly for the question this firm was previously asked to advise on:

- FIRS has been renamed and reconstituted as the Nigeria Revenue Service (NRS), which now performs all the functions FIRS previously carried out, including administration of this levy.
- The charge itself survives, still fixed at ₦50 on qualifying transfers of ₦10,000 and above, but it has been formally rebranded from the "Electronic Money Transfer Levy" to "Stamp Duty" under the Nigeria Tax Act 2025 — and, critically, liability has shifted from the recipient to the sender of the funds.

Transfers between a person's own accounts (where the name and identification details match across accounts) and certain salary payments remain outside the charge, consistent with the exemptions that applied previously.

Was the Original Imposition Valid? Yes — and It Still Is

The underlying question this firm was asked to consider — whether FIRS (now the NRS) had authority to impose this duty at all — remains answered the same way today as it was under the old Stamp Duties Act. The Nigeria Tax Act and its companion legislation were validly passed by the National Assembly and assented to by the President, and they expressly carry forward this duty as a chargeable instrument under the new regime. Nothing in the transition to the Nigeria Tax Act 2025 casts doubt on the legality of the charge; it simply relocates it to a new statutory home and changes who bears it.

Businesses that route significant transaction volumes through their accounts, or that had structured internal cost allocations around the old receiver-pays position, should revisit those arrangements. Treasury and

finance teams should confirm with their bankers that stamp duty is now being deducted correctly from outgoing transfers rather than incoming ones, and should note the agency's new name — Nigeria Revenue Service — in correspondence and compliance records going forward. Businesses that operate through a central corporate treasury while dealing with tax offices in multiple states should also confirm, in writing, which NRS office is to be treated as the correspondence point for matters of this kind.

A note on currency of the law

This is a significant update, not a minor one. The Stamp Duties Act, on which the original advice was based, has been repealed and its provisions absorbed into the Nigeria Tax Act 2025 (effective 1 January 2026). The Federal Inland Revenue Service no longer exists in that form; its functions now sit with the Nigeria Revenue Service.

The ₦50 threshold and the ₦10,000 trigger amount are unchanged, but liability for the charge has moved from the recipient to the sender — a reversal of the position originally advised on. Businesses relying on the earlier position should update their processes accordingly.

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